



BUSINESS RESPONSIBILITY REPORT

Section A: General information about the Company

S.No.	Particulars	Details
1	Corporate Identity Number (CIN) of the Company	L15135DL1991PLC046758
2	Name of the Company	Devyani International Limited
3	Registered Address	F-2/7 Okhla Industrial Area Phase-I New Delhi 110020
4	Website	https://dil-rjcorp.com/
5	Email-Id	companysecretary@dil-rjcorp.com
6	Financial Year Reported	April 1, 2021 to March 31, 2022
7	Sector(s) that the Company is engaged in (industrial activity code wise)	Division 56– Food & Beverage Service Activities Group 561 – Restaurants & Mobile Food Services Group 562– Event Catering & Other Food Service Activities Group 563– Beverage Service Activities
8	List three key products / services that the Company manufactures / provides (as in balance sheet)	Food, Beverages and Restaurant business
9	Total number of locations where business activity is undertaken by the Company	
	(i) Number of International Locations (Provide Details of Major 5)	The Company operates following stores on International Locations through its subsidiaries as on 31 st March, 2022: a. 28 stores in Nigeria; b. 18 stores in Nepal
	(ii) Number of National Locations	The Company operates 892 stores in India as on 31 st March, 2022.
10	Markets served by the Company – Local / State / National / International	The Company operates in India and in the international market through its subsidiaries.

Section B: Financial details of the Company

Paid Up Capital	₹ 1,20,47,36,378*
Total Turnover	₹ 18,532.72* Million
Total Profit after Taxes	₹ 1,533.83* Million
Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	Not Applicable
List of activities in which expenditure in above has been incurred	Not Applicable

*As on 31st March, 2022

Section C: Other details

S.No.	Particulars	Details
1	Does the Company have any Subsidiary Company/Companies?	Yes
2	Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)	Devyani International Limited (DIL) is committed towards the BR initiatives across its organization and its subsidiary(ies)
3	Do any other entity/entities (e.g. suppliers, distributors, etc.) that the Company does business with participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/ entities? [Less than 30%, 30-60%, More than 60%]	The Company engages with all its key stakeholders (e.g. suppliers, community, investors, employees, etc.) and communicates its business responsibility policies to the concerned stakeholders' from time to time through website and meets, etc. Some of the key principles of business responsibility that the Company stands for are even included, to the extent possible, in the agreement signed with suppliers / vendors / service providers etc. The percentage of such stakeholders is less than 30%.

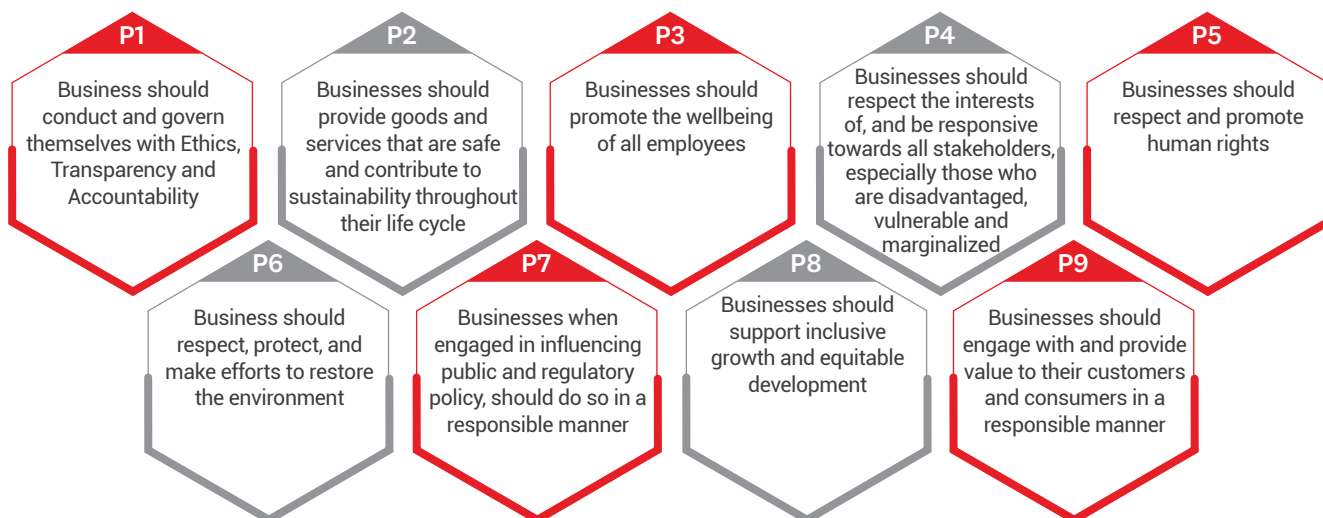
Section D: Business Responsibility information

1. Details of Director/Directors responsible for BR

S.No.	Particulars	Details	
1	Details of the Director/ Directors responsible for implementation of the BR policy/ policies (including ESG initiatives)	DIN Name Designation	01821240 Mr. Virag Joshi Whole Time Director & Chief Executive Officer
2	Details of the BR head	DIN Name Designation Telephone Number E-Mail Id	00319476 Mr. Manish Dawar Whole Time Director & Chief Financial Officer +91-124-4566300, 4786000 companysecretary@dil-rjcorp.com

2. Principles (as per NVGs) BR Policy/policies

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs) released by the Ministry of Corporate Affairs has adopted nine principles of Business Responsibility. These briefly are as follows:



**3. Details of compliance (Reply in Y/N)**

S. No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have a policy/ policies for...	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national / international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy being approved by the Board? Is yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be viewed online?	All employee related policies are uploaded on the intranet portal of the Company for communication and implementation. Other policies are uploaded on the Company's website https://dil-rjcorp.com/ .								
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the company have in-house structure to implement the policy/ policies.	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	N	N	N	N	N	N	N	N	N

4. Governance related to BR

Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year	Annually
Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?	The Company got Listed on Stock Exchanges (BSE & NSE) on 16 th August, 2021. The Company is publishing Business Responsibility Report for the first time as a Listed Company.

Section E: Principle-Wise Performance

Principle 1: Business should conduct and govern themselves with Ethics, Transparency and Accountability

S.No.	Particulars	Details
1	Does the policy relating to ethics, bribery and corruption cover only the company? Yes/ No.	Yes
2	Does it extend to the Group/Joint Ventures/ Suppliers/ Contractors/ NGOs / Others?	Yes
3	How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.	For details on investor complaints, refer to "Investor Grievances/ Complaints" section of Corporate Governance Report in the Annual Report.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

DIL is a multi-dimensional comprehensive quick service restaurant (QSR) player in India and amongst the largest operators of chain QSRs in India. We operate three global franchised brands – KFC, Pizza Hut & Costa Coffee, as well as our own brands focusing on Indian cuisine. Across all our brands, we constantly strive to operate our businesses in a sustainable and people-centric manner.

The processes that DIL follows meet the international safety and quality standards. We endeavour to follow the principles of sustainability across procurement of raw material, transportation of raw materials and at the time of food preparation in our restaurants. In our customer-facing businesses, we have eliminated single-use plastics across all stores (plastic bags, cups/lids, straws) and are using only paper based recyclable and sustainable materials. 100% of paper-based packaging is made of fibre from responsibly managed forests and recycled sources. Costa Coffee procures coffee beans from 100% Rainforest certified farms in India and the quality of the green beans is checked & is scrutinized by the Costa Global team.

DIL is proud of its steadfast commitment to diversity at workplace. At present, close to 25% of our employees comprise of women employees. We aim to provide better opportunities for our diversity hires, and towards this end, we operate more than 20 women-only stores. Some of our stores run and managed by differently abled employees as well.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

(a) Reduction during sourcing/production/ distribution achieved since the previous year throughout the value chain?

Consumption of energy is closely monitored at our outlets and we are constantly working on introducing more efficient equipment and on optimising our processes to enhance efficiency. As a result, our Electricity cost as a percentage of Revenue in our KFC business has reduced to 3.1% in FY22 from 3.8% in FY21.

(b) Reduction during usage by consumers (energy, water) has been achieved since the previous year?

We are continuously working on introducing safer and more energy efficient equipment in our business. Where possible, we are moving to PNG instead of LPG for the fryers. Further, we are exploring moving towards more efficient electric equipments and also exploring substituting the power supply through Solar Panels.



3. Does the company have procedures in place for sustainable sourcing (including transportation)?



- (a) If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

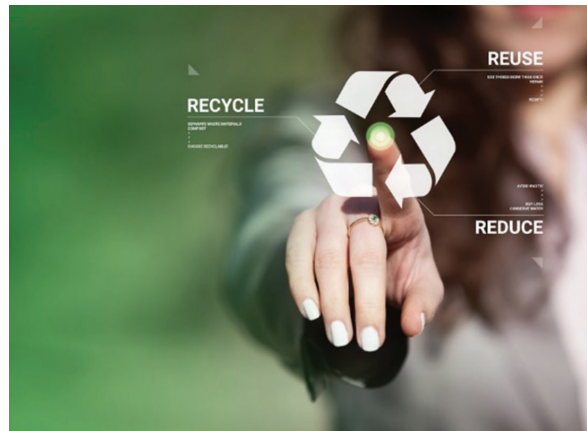
Costa Coffee procures coffee beans from 100% Rainforest certified farms in India and the quality of the green beans is checked & is scrutinized by the Costa Global team. We are using paper-based packaging that is made of fibre from responsibly managed forests and recycled sources. We are also working towards ensuring that antibiotic presence in our food supply chain is minimized.

4. Has the company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work?

- (a) If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

The Company has tried to create new paths and provide opportunities to the new startups and Micro, small and medium enterprises. The Company also strive to provide opportunities in distressed areas and has devised unique models for empowerment of people in such areas. In this regard, the Company has developed large regional base of vendors for procurement of goods and services from such areas. These sort of interventions not only improve the efficiency and enhance productivity but also contribute to substantial employment creation in communities surrounding the workplaces.

5. Does the company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.



We have a strong focus on the 3R's of Reduce, Recycle and Recover in our business. Towards this we have already eliminated single-use plastic at the consumer end in our outlets. We are also pre-dominantly using 100% recycled paper-based packaging where possible. We are also moving towards ensuring that a greater share of our raw materials come from responsibly managed and sustainable sources. Further, we are actively looking at recycling opportunities in various parts of the business. For e.g. we are exploring usage of used cooking oil for bio-diesel production and are working with NGOs for recycling Coffee waste.

Principle 3: Businesses should promote the wellbeing of all employees

1. Please indicate the Total number of employees

Total No. of Permanent Employees:



12,074

(It Includes both full-time and part-time employees working in India).

2. Please indicate the Number of permanent employees with disabilities



Number of permanent employees with disabilities

66

3. Please indicate the Number of permanent women employees



Total number of permanent Women employees:

3,002

4. Please indicate total number of employees hired on temporary/ contractual/ casual Basis

The Company does not have any employees hired on temporary/ contractual/ casual Basis as on 31st March, 2022.

5. Do you have an employee association that is recognised by management?

There is no Employee association.

6. What percentage of your permanent employees are members of this recognised employee association?

Not Applicable

7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment, discriminatory employment in the last financial year and pending, as on the end of the financial year

Nil

8. What percentage of your under mentioned employees were given safety & skill upgradation training in the last year? (a) Permanent Employees (b) Permanent Women Employees (c) Casual/Temporary/Contractual Employees (d) Employees with Disabilities.

Every team member is continuously trained on the skill set required for the job through on the job training. Training is conducted based on Behavioural, Functional, Leadership needs identified by the Company through the performance management system, one-on-one discussions, Individual Development Plans for key resources of the organisation and organisational mandates. Safety is a key part of the induction programme and station observation checklist (a training and promotion tool for team members). Safety and Skill upgradation trainings is made available to 100% staff at restaurant level.

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized

1. Has the company mapped its internal and external stakeholders? Yes/No

Yes. Details of Shareholders/Investors, Banks, Employees and Business Partners are available with the Company.

2. Out of the above, has the Company identified the disadvantaged, vulnerable and marginalized stakeholders.

Except of the identifying and maintaining a list of MSME vendors, which is required statutorily, the

Company is currently in the process of creating a definition of disadvantaged, vulnerable & marginalised stakeholders. Post which the Company would start identifying the same within the stakeholders it works / interacts with.

3. Are there any special initiatives taken by the company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

KFC's India Sahyog program is designed to help local and small food joints to revive their business as the work to overcome the impact of Covid-19. KFC's India Sahyog program is an exclusive and novel program in a way that is encompasses Food Safety as well as business training for local restaurants. Designed to enhance the capacity building capabilities of local restaurants, the program aims to improve the overall business model, boost sales and profitability as well as enhance customer experience. DIL is executing the program in association with Food Safety and Standards Authority of India (FSSAI) and National Restaurant Association of India (NRAI). This will allow small food business owners to participate in the growth of the food industry in India. KFC's India Sahyog will support 500 restaurants in strengthening their businesses over the next two years. The Program includes:

- complimentary Advanced Catering training.
- Sanitization Kit to each restaurant
- Business Module Training by KFC experts will cover Profitability, Customer experience and Business enhancement with a special focus on delivery

Principle 5: Businesses should respect and promote human rights

1. Does the policy of the company on human rights cover only the company or extend to the Group/Joint Ventures/ Suppliers/Contractors/NGOs/Others?

The principles of Human Rights are ensured through policies on Code of Conduct and Employee policies protecting the rights and interest of the employees. Some of the key principles of business responsibility that the Company stands for are even included, to the extent possible, in the agreement signed with suppliers / vendors / service providers etc.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

No complaint related to Human Rights is pending as on 31st March, 2022. We have a robust mechanism to receive and resolve employee grievances / concerns.

**Principle 6: Business should respect, protect, and make efforts to restore the environment.****1. Does the policy related to Principle 6 cover only the company or extends to the Group/Joint Ventures/Suppliers/Contractors/NGOs/others.**

DIL's restaurants and business operations follow a stringent and well-defined framework that aims to minimize the environmental impact, improve food safety & hygiene protocols, and encourage people & community development. The Company promotes and shall continue to promote usage of sustainable practices at its restaurants and stores. In order to pursue the "People First" approach, DIL aims to create a healthy and safe environment for all its employees, business partners and community.

2. Does the company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc? Y/N. If yes, please give hyperlink for webpage etc.

DIL has explored eco-friendly materials and green designs to reduce the use of single-use packaging and have already eliminated single-use plastic at the consumer end in our outlets. We are also pre-dominantly using 100% recycled paper-based packaging where possible. We are currently in the process of putting in place effective water conservation practices across its stores. The Company shall endeavour to take the initiative of using renewable energy sources across its restaurants and stores. For hyperlink, please refer Section A of BRR.

3. Does the company identify and assess potential environmental risks? Y/N

The Company intends to create a positive impact on the environment through its business operations. This is reflected from the initiatives incorporated by the Company on sustainable environment practices across the value chain. The Company has undertaken stakeholder engagement and materiality exercises to assess potential environmental risks.

4. Does the company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

The Company has not registered any project related to the Clean Development Mechanism.

5. Has the company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.

No

6. Are the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes, the emissions and waste generated by the Company are within the permissible limits as per CPCB/SPCB.

7. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year

Nil

Principle 7: Businesses when engaged in influencing public and regulatory policy, should do so in a responsible manner**1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with.**

Yes, the Company is a member of the National Restaurant Association of India.

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)

KFC's India Sahyog program which is designed to help local and small food joints was executed in association with Food Safety and Standards Authority of India (FSSAI) and National Restaurant Association of India (NRAI).

Principle 8: Businesses should support inclusive growth and equitable development**1. Does the company have specified programmes/ initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.**

DIL, under the KFC Kshamata program, aims to bridge the gender and ability imbalance gap and increase the women workforce at their restaurants. Taking forward the objective of nurturing potential with its KFC Kshamata programme, the brand will facilitate tournaments, build visibility and explore growth opportunities for speech & hearing-impaired cricketers, along with the Indian Deaf Cricket Association.

DIL is focused on diversity in business operations, with women and differently abled employees comprising close to 25% of our employee strength. We are also operating women-only stores across core brands. As on March 31, 2022, DIL operates more than 20 women-only stores and 13 stores operated by differently abled employees.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?

All the community development initiatives were undertaken by in-house teams and often with the help of external agencies/ organizations.

3. Have you done any impact assessment of your initiative?

Yes. Informal feedback is being taken and frequent visits were carried out to establish impact of the initiatives and to re-establish that such initiatives are worth and effective.

4. What is your company's direct contribution to community development projects- Amount in INR and the details of the projects undertaken.

DIL under the KFC Care program during the Covid-19 pandemic provided more than 3 million meals to migrant workers and displaced families; helped strengthen medical infrastructure for 50 hospitals with medical supplies & essentials and administered Covid-19 relief to 15,000 individuals with food relief and home care kits. Supported by the Yum! Foundation in our endeavour.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Yes. The Company ensures the community development initiative through internal tracking mechanisms and field visits. Informal feedbacks are also obtained from the community on such initiatives.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/consumer cases are pending as on the end of financial year?

S.No.	Particulars	Count
1	Number of Consumer Notices received during FY 2021-22	3
2	Number of pending Consumer Complaints in courts as on March 31, 2022	17

Apart from above as at March 31, 2022, there were no customer complaints received by the Company at various platforms has been unresolved

2. Does the company display product information on the product label, over and above what is mandated as per local laws?

The Company adheres to all the applicable rules and regulations regarding product manufacture/ storage/ distribution and labelling information (under Food Safety and Standards, and Legal Metrology) for all its Food products.

3. Is there any case filed by any stakeholder against the company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year. If so, provide details thereof, in about 50 words or so.

No

4. Did your company carry out any consumer survey/ consumer satisfaction trends?

The Company engages with its customers through multiple means in order to garner feedback and gauge their satisfaction. The Company carries out consumer surveys through Global Customer experience management company called SMG and also through an SMS is triggered to a sample % of customer placing an order.

To understand consumer satisfaction trends, feedback is also sought from consumers through social media or email. By reviewing the feedback provided and sharing the response, the Company gauges the level of consumer satisfaction and derive trends.

**For and on behalf of the Board of Directors
For Devyani International Limited**

Place: Gurugram
Date: May 2, 2022

Ravi Jaipuria
Chairman
DIN: 00003668